

THE CHIEF MARKETER

How states are competing for industrial investment, and reshaping India's manufacturing map through infrastructure, incentives, and easier business rules

BY **TINA EDWIN**

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▶ **INDIA'S MANUFACTURING MAP** has witnessed a visible change over the past decade. Largely agrarian states such as Uttar Pradesh and Haryana, where growth lagged, are emerging as new hotspots for manufacturing. Both states saw over 50% decadal rise in the number of operating factories since FY14.

Tamil Nadu continues to hold on to the number one position as home to the largest number of factories, as it has for years, and has successfully attracted new-age industries. However, its lead over other states narrowed significantly, with Gujarat emerging as the main challenger. In FY14, Tamil Nadu had at least 60% more factories than Gujarat. By FY24, that lead narrowed to just

20%, as Gujarat effectively wooed businesses to expand their manufacturing footprint in the state. Annual Survey of Industries data show that the number of factories in the western state rose by 46% over the decade.

Gujarat eclipsed neighbour Maharashtra as it aggressively pursued a strategy to become a favoured manufacturing base for businesses, large and small. Until FY18, Maharashtra had the largest number of factories after Tamil Nadu. Undivided Andhra Pradesh had more factories than Maharashtra at the time of its bifurcation in 2014. Now Gujarat ranks second with the largest number of factories, about 25% more units than Maharashtra, which is at the third place.



Tamil Nadu has also been the top employer of factory workers and has managed to defend that position. About 16% of factory jobs are in the southern state. But Gujarat is fast narrowing the gap, having overtaken Maharashtra on that count also.